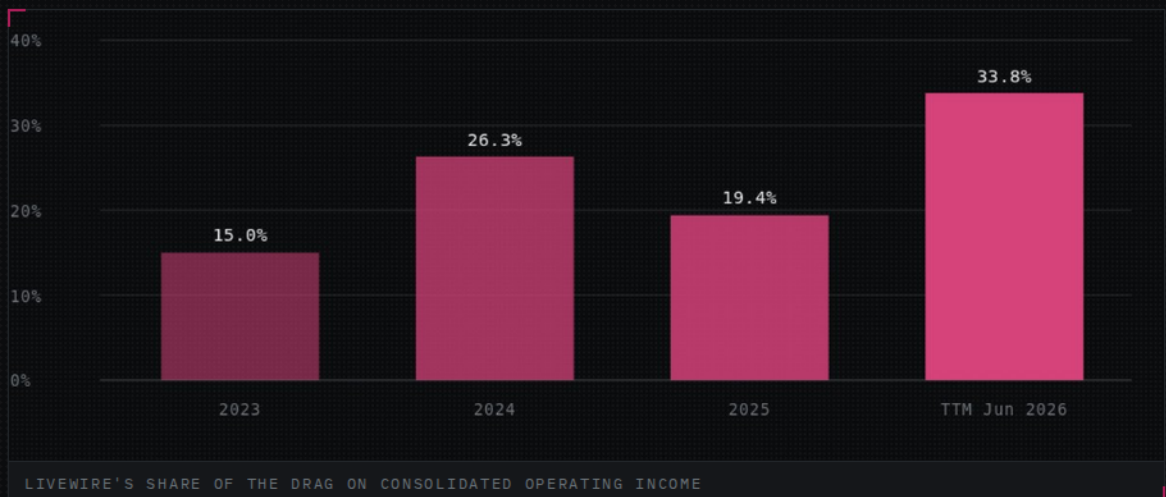


HARLEY-DAVIDSON: BACK TO THE BRICKS, DOWN TO BREAKEVEN • PART 3 OF 4

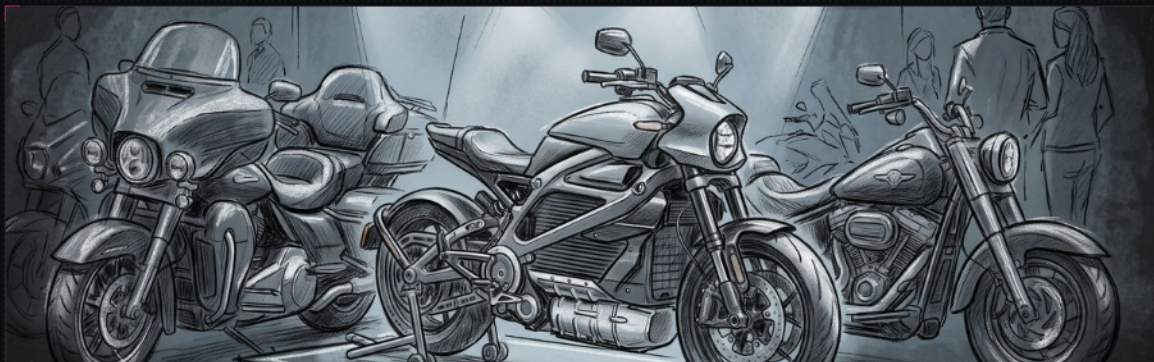
# GUIDED TO LOSE MORE THAN THE MOTOR COMPANY MAKES.

\$422 million of LiveWire losses consolidated into Harley-Davidson since 2022. Cash to May 2027. A note due in December.



HARLEY-DAVIDSON: BACK TO THE BRICKS, DOWN TO BREAK-EVEN • THE ROUTE

# THE SUBSIDIARY



## ONE ELECTRIC ON A HARLEY FLOOR

One electric on a Harley floor. The dealer did not ask for it and does not get paid much to sell it.

### PART I

## THE ARITHMETIC

Add up the guidance: about zero. The subsidiary's loss exceeds the motor company's profit.

### PART II

## THE SALE

2025's profit was the finance company, sold. \$180M a year traded for \$1.25B once.

### PART III

## THE SUBSIDIARY

\$422M consolidated. A third of the profit drag from 0.6% of revenue. Cash to May 2027.

### PART IV

## THE PLAN

Five pillars, six targets. The 2027 number is a 5% margin, below 2019.

### PART V

## THE BET

\$1.6B of buybacks, and one motorcycle carrying the growth target: the 883.

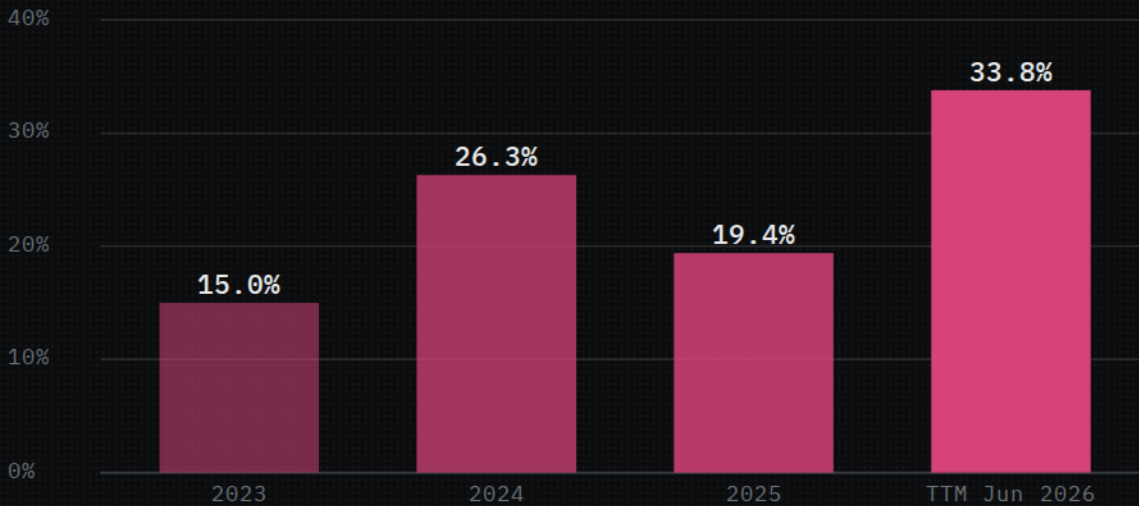
### PART VI

## THE FINAL WORD

LiveWire didn't break Harley. It is what the new Harley can't afford.

LIVEWIRE OPERATING LOSS AS A SHARE OF H-D CONSOLIDATED OPERATING INCOME

# 0.6% OF REVENUE. A THIRD OF THE DRAG.



Every dollar LiveWire loses lands in Harley-Davidson's operating income. Only the ~11% belonging to the public minority comes back out, below the line. H-D shareholders bear ~89%.



S2 DEL MAR, \$15,499

S2 Del Mar. \$15,499, built by Harley-Davidson at cost plus a mark-up. The bike behind the 386%.

1 in 3

DOLLARS OF THE PROFIT DRAG, FROM 0.6% OF REVENUE

## LIVEWIRE, IN THE PARENT'S NUMBERS · 2025

CUMULATIVE LOSSES CONSOLIDATED · 2022-JUN 2026

**\$422M**

\$337M FROM JAN 2023 ALONE

SHARE OF H-D REVENUE

**0.6%**

\$25.7M OF \$4,473M

SHARE OF H-D HEADCOUNT

**2.7%**

~150 OF ~5,500

Against the 2021 plan of 100,000 units and \$1.8B of revenue by 2026: 923 units, \$31.3M. Ground Truth No. 01 has that story.

SHARE OF THE 2025 PROFIT DRAG

**19%**

34% TRAILING TWELVE MONTHS



#### THE SEAT CHANGE

February 2024, a convertible loan. November 2025, a secured one. Same counterparty, different seat.

THE SEAT CHANGE · ONE INSTRUMENT, REWRITTEN

## FEBRUARY 2024

A **\$100M convertible** loan. If LiveWire could not repay, Harley-Davidson would take equity. A parent's instrument. Never drawn.

## NOVEMBER 2025

Amended and restated at **\$75M**.  
Conversion feature **removed**. Security interest over **substantially all assets** added. SOFR + 4%, compounding, all due **15 December 2027**. First \$10M of any equity raised goes to the lender. Drawn in full 15 December 2025.

A convertible says: if this fails, we own it. A secured loan says: if this fails, we get paid first.



#### THE CLOCK

Cash runs out around May 2027. The note is due in December. The plan is scored on 2027.

#### THE CLOCK

LIVEWIRE CASH · 30 JUN 2026

# \$52.9M

FROM \$82.8M AT YEAR-END · \$29.9M  
BURNED IN SIX MONTHS

OWED TO HARLEY-DAVIDSON · 15 DEC 2027

# \$76.8M

COMPOUNDING TO ~\$85M · SECURED ON  
EVERYTHING

**STRAIGHT-LINE THE  
BURN AND THE CASH  
RUNS OUT AROUND MAY  
2027. THE NOTE IS DUE  
SEVEN MONTHS LATER.  
THE PLAN'S ONLY DATED  
TARGET IS 2027.**

## THE OPTIONS, AS THEY STAND ON THE FILINGS • AN ENUMERATION, NOT A PREDICTION

| OPTION                | COST TO H-D                                                            | EFFECT ON H-D'S P&L        |
|-----------------------|------------------------------------------------------------------------|----------------------------|
| Fund again            | Reverses the stated position                                           | None; already consolidated |
| Buy the minority      | ~\$28M at \$1.20. Severance plan already carves out an H-D acquisition | None; already consolidated |
| Third-party raise     | Dilution to ~70%; new money sits behind H-D's lien                     | Still consolidated         |
| Foreclose / wind down | Write-down of the \$75M note against collateral                        | Losses stop                |
| Sell or merge         | Depends on buyer; H-D keeps the contracts                              | Deconsolidation            |

H-D has stated no intention to fund, acquire, divest or wind down LiveWire. None is asserted here.

# BECAUSE LIVEWIRE IS ALREADY CONSOLIDATED, NO OWNERSHIP CHANGE SHORT OF DECONSOLIDATION IMPROVES HARLEY- DAVIDSON'S REPORTED OPERATING INCOME.

Buying the minority for \$28M would be the cheapest corporate action in the company's recent history. It would change the operating line by exactly nothing. Back to the Bricks handles this by scoring HDMC alone.

H-D OPERATING INCOME • WITH THE MINORITY OUTSTANDING, AS TODAY

**same**

H-D OPERATING INCOME • AFTER BUYING THE MINORITY FOR ~\$28M

**same**

ALREADY CONSOLIDATED • THE WHOLE LOSS IS ON THE LINE EITHER WAY; \$28M MOVES NOTHING ABOVE MINORITY INTEREST

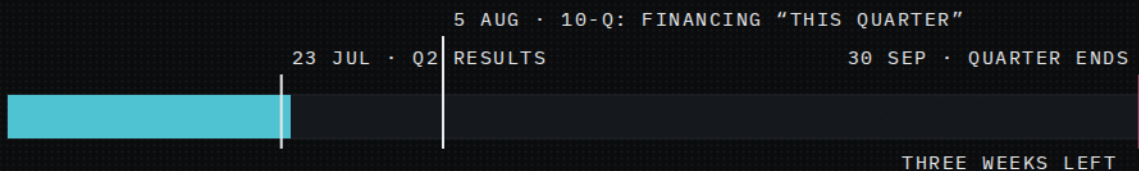
## WHAT THE PARENT HAS SAID IN 2026

*"LiveWire is now working diligently to attract its own sources of capital to continue to finance its operations and future plans."*

ARTIE STARRS · Q4 2025 CALL · 10 FEB 2026

No 2026 statement from Starrs or CFO Root uses "strategic alternatives," "divestiture" or "wind-down." Back to the Bricks does not mention LiveWire outside its forward-looking factors. LiveWire's 10-Q says it will pursue financing "during the third quarter of 2026." That quarter ends in three weeks.

Q3 2026 · THE QUARTER LIVEWIRE SAID IT WOULD PURSUE FINANCING



NO FINANCING ANNOUNCED AS OF THIS WRITING

PART 1 ✓

The  
Arithmetic

PART 2 ✓

The Sale



PART 3 ✓

The  
Subsidiary

PART 4

The Bricks

# PART 4: WHAT BACK TO THE BRICKS ACTUALLY COMMITS TO, WHAT HARDWARE DELIVERED, AND THE ONE MOTORCYCLE CARRYING THE GROWTH TARGET.

Full brief: 16 sections in six parts, every  
figure linked to its filing, open items and  
corrections published.  
[contactpatchadvisory.com/groundtruth/02](https://contactpatchadvisory.com/groundtruth/02)